

Cost of Poor Quality (COPQ)

Definition

Cost of Poor Quality (COPQ) is the extra cost we pay because our process does not work as well as it could. It includes time spent on rework, handling avoidable complaints, and losing customers because of poor service. [web:600][web:604]

Simple COPQ Estimate for High AHT

To keep things simple, we only estimate one part of COPQ: excess handling time on long calls.

- Target AHT: 7 minutes.
- Current average AHT: 9 minutes.
- Extra time per call: 2 minutes.
- Average calls per month: 10,000.
- Agent cost per minute (salary + benefits): ₹15.

Extra time per month = 2 minutes × 10,000 calls = 20,000 minutes. Extra cost per month $\approx 20,000 \times ₹15 = ₹300,000$.
Extra cost per year $\approx ₹3.6$ million.

Other COPQ Elements (Qualitative)

- Some customers abandon calls if the line is too slow.
- Unhappy customers may reduce repeat purchases.
- Agents feel stressed, which can increase turnover and training costs.

Why This Matters

Even this rough estimate shows that long AHT is not just a “nice-to-have” improvement. It has a real cash impact. This helps justify the time and budget for improvement work in the next phase. [web:600][web:602][web:610]